

are only the paid employees of the stockholders; and that the directors, however chosen, are virtually trustees, whose legal duty it is to act solely on behalf of the owners of the business.”²⁸ All that was required to reverse course was to “reassert the rights of control which inhere in ownership.”²⁹

It was no coincidence that the discussion on shareholder rights in *Security Analysis* followed on the heels of the chapter on calculating liquidation value, the dourest assessment of a company’s prospects. Liquidation value is the residue remaining after all of a company’s liabilities have been satisfied and the company has been wound up. Graham described it as simply “the money which the owners could get out of it if they wanted to give it up.”³⁰ To Graham, a stock price below liquidation value was clear evidence that the company’s management was pursuing a “mistaken policy,” and should take “corrective action, if not voluntarily, then under pressure from stockholders.”³¹

In its simplest terms the question comes down to this: Are these managements wrong or is the market wrong? Are these low prices merely the product of unreasoning fear, or do they convey a stern warning to liquidate while there is yet time?”

In 1932—two years before the publication of *Security Analysis*—Graham authored a series of articles for *Forbes* magazine highlighting the large number of stocks that continued to trade well below liquidation value fully three years after the 1929 stock market crash. The solution, proposed Graham, was that investors become “ownership conscious.”³²

If they realized their rights as business owners, we would not have before us the insane spectacle of treasuries bloated with cash and their proprietors in a wild scramble to give away their interest on any terms they can get. Perhaps the corporation itself buys back the shares they throw on the market, and by a final touch of irony, we see the stockholders’ pitifully inadequate payment made to them with their own cash.

Graham practiced what he preached. The employees of Graham-Newman, his investment partnership, spent their days poring through the 10,000 pages in the *Standard and Poor’s* or *Moody’s Manuals* looking for net nets. Among them was a future star who Graham had been initially reluctant to take on, the young Warren Buffett. Graham’s philosophy was also eagerly embraced by a clutch of investors in the 1940s, 1950s, and 1960s, including Thomas Mellon Evans, Louis Wolfson, and Leopold Silberstein—the so-called *White Sharks of Wall Street*³³—who rose to prominence using